carry out regular and intensive studies of Islamic affairs and their implications for India in all aspects.

India's growing interest in the region was primarily for two reasons: oil and the increasing penetration of Pakistan. In 1980, Pakistan had the second-largest armed forces in the Muslim world and all the Muslim countries turned to Pakistan for study material for their training institutions, officers and men to train combat units, engineers for construction work and retired officers to induct into paramilitary organisations. By the time of the beginning of the hostility between Iran and Iraq, Pakistan was providing personnel from its three services to both countries aside from support to the UAE, Jordan, Qatar, Kuwait, Libya and Saudi Arabia. Before the outbreak of war, Indian intelligence agents had picked up chatter on possible Pakistan-Iraq cooperation in the nuclear sphere.

India also had deep economic interests in Iraq and the topmost priority of Indira Gandhi's government was to defuse the situation and ensure peace. But Iran had taken a tough stand and all attempts for peace drew a blank. In an intelligence report dated 19 March 1981, the R&AW said that because of Khomeini's stand, the IRP had suggested that the first task of any peace mission should be to identify the aggressor and to punish him, directly naming Saddam Hussein. After the ceasefire proposal was handed to both countries, Iran was prepared to concede at most to a simultaneous ceasefire and Iraqi withdrawal in contrast to the recommendation by the Islamic Countries' Coalition for a week's gap between the two and a phased withdrawal of the Iraqis over a period of four weeks.